

UNIT–1: Promotion

1. Explain Promotion, Promotion Concept and Evolution.

Introduction

Promotion is one of the **4Ps of the marketing mix** (Product, Price, Place, Promotion). It is the process of communicating with customers to inform, persuade, and remind them about a product or service. Promotion helps create awareness, increase sales, build brand image, and maintain long-term customer relationships.

Meaning of Promotion

Promotion is the communication activity through which an organization informs customers about its products or services and encourages them to purchase.

It helps customers understand:

- Product features
- Benefits
- Price
- Availability
- Special offers

Example:

- TV advertisements
 - Instagram ads
 - Newspaper advertisements
 - Discounts and coupons
 - Salespersons explaining products
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Promotion Concept

The **Promotion Concept** means delivering the **right message, to the right customer, at the right time, through the right communication channel**.

The main objective is to influence customer buying behavior and increase sales while building a strong relationship with customers.

Objectives of Promotion Concept

1. Create Awareness

Promotion informs customers about new products and services available in the market.

Example: A newly launched smartphone is promoted through YouTube advertisements.

2. Increase Sales

Effective promotional activities encourage customers to buy products, resulting in higher sales and profits.

3. Build Brand Image

Continuous promotion creates a positive image of the company and improves customer trust.

Example: Apple promotes quality and innovation, creating a premium brand image.

4. Inform Customers

Promotion provides complete information regarding:

- Features
 - Price
 - Quality
 - Offers
 - Usage
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5. Face Competition

Promotion helps companies compete with rival brands by attracting more customers.

Example: Pepsi and Coca-Cola continuously advertise to stay competitive.

6. Build Customer Relationships

Regular promotional communication reminds customers about the brand and increases customer loyalty.

Evolution of Promotion

Promotion has evolved with changes in technology and communication methods.

1. Traditional Promotion

Earlier, companies used:

- Newspapers
- Magazines
- Radio
- Television
- Posters
- Banners
- Pamphlets

Communication was mostly **one-way**, where customers only received information.

2. Modern Promotion

With the growth of the internet, businesses started using:

- Websites
- Email Marketing
- SMS Marketing
- Online Advertisements

These methods were faster and reached a larger audience.

3. Digital Promotion

Today, companies use digital platforms such as:

- Instagram
- Facebook
- YouTube
- WhatsApp
- Google Ads

Customers can now interact with companies by commenting, reviewing products, and sharing their experiences.

This is **two-way communication**.

4. Integrated Marketing Communication (IMC)

Modern companies combine different promotional tools to deliver one consistent message.

These tools include:

- Advertising
- Sales Promotion
- Personal Selling
- Public Relations
- Direct Marketing

This integrated approach improves communication effectiveness and strengthens brand image.

Importance of Promotion

1. Creates Product Awareness

Customers become aware of new products and services.

2. Increases Sales

Promotion motivates customers to purchase products.

3. Builds Customer Trust

Providing accurate information increases customer confidence.

4. Improves Brand Recognition

Regular promotion helps customers remember the brand.

5. Supports Business Growth

Higher sales and customer satisfaction contribute to business expansion.

Conclusion

Promotion is a vital marketing function that helps organizations communicate effectively with customers. It creates awareness, increases sales, builds a strong brand image, and develops customer loyalty. The evolution from traditional promotion to digital marketing and Integrated Marketing Communication (IMC) has made promotion faster, more interactive, and more effective in today's competitive business environment.

2. Explain about:

(a) Advertising (b) Sales Promotion (c) Personal Selling (d) Publicity

Introduction

Promotion is an important element of the marketing mix. It helps businesses communicate with customers, create awareness, increase sales, and build a strong brand image. The four major promotional tools are **Advertising, Sales Promotion, Personal Selling, and Publicity**. Each tool has a different role but together they help organizations achieve their marketing objectives.

(A) Advertising

Meaning

Advertising is a **paid, non-personal form of communication** used by companies to promote their products, services, or ideas through different media such as television, newspapers, radio, magazines, websites, and social media.

Example: Coca-Cola advertisements on TV and YouTube.

Features of Advertising

1. Paid Communication

The advertiser pays money to media agencies to display advertisements.

2. Non-Personal Communication

The same message is communicated to many people without direct interaction.

3. Wide Reach

Advertising can reach millions of customers across different regions.

4. Brand Building

Regular advertising improves brand awareness and creates a positive brand image.

Advantages of Advertising

- Creates product awareness.
 - Reaches a large audience.
 - Increases sales.
 - Builds customer confidence.
 - Supports long-term business growth.
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(B) Sales Promotion

Meaning

Sales Promotion refers to **short-term incentives** offered to customers or dealers to encourage the immediate purchase of a product or service.

Examples:

- Discounts
 - Coupons
 - Buy One Get One Free (BOGO)
 - Cashback offers
 - Free gifts
 - Lucky draws
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Features of Sales Promotion

1. Short-Term Activity

Promotional offers are available only for a limited period.

2. Encourages Immediate Purchase

Customers are motivated to buy products quickly.

3. Adds Extra Value

Customers receive additional benefits such as gifts, discounts, or cashback.

4. Supports Other Promotional Tools

Sales promotion works along with advertising and personal selling.

Advantages of Sales Promotion

- Increases immediate sales.
 - Attracts new customers.
 - Clears old or excess stock.
 - Increases customer interest.
 - Helps introduce new products.
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(C) Personal Selling

Meaning

Personal Selling is a promotional method where a salesperson directly communicates with customers to explain product features, answer questions, and persuade them to buy.

Example: A salesperson demonstrating a refrigerator in an electronics showroom.

Features of Personal Selling

1. Face-to-Face Communication

The salesperson directly interacts with customers.

2. Two-Way Communication

Customers can ask questions and receive immediate responses.

3. Builds Customer Relationships

Personal interaction creates trust and long-term relationships.

4. Customized Selling

The salesperson adjusts the sales presentation according to customer needs.

Advantages of Personal Selling

- Better understanding of customer needs.
 - Immediate feedback.
 - Higher chances of closing sales.
 - Builds customer loyalty.
 - Suitable for expensive and complex products.
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(D) Publicity

Meaning

Publicity is the dissemination of information about a company, product, or event through newspapers, television, magazines, websites, or social media **without paying directly for media coverage**.

Example: A news channel reporting that a company has won the "Best Employer Award."

Features of Publicity

1. Free Promotion

Companies generally do not pay directly for publicity.

2. High Credibility

People trust publicity because it comes through independent media sources.

3. Wide Public Reach

News spreads quickly to a large audience.

4. Improves Company Image

Positive publicity enhances the organization's reputation.

Advantages of Publicity

- Low cost.
 - Builds public trust.
 - Improves company reputation.
 - Creates brand awareness.
 - Increases goodwill.
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Difference Between the Four Promotional Tools

Tool	Paid/Free	Communication	Main Purpose
Advertising	Paid	One-way	Create awareness and build brand image

Sales Promotion	Paid	One-way	Increase immediate sales
Personal Selling	Paid	Two-way	Convince customers through direct interaction
Publicity	Usually Free	One-way	Build credibility and a positive public image

Conclusion

Advertising, Sales Promotion, Personal Selling, and Publicity are the four major tools of promotion. Advertising creates awareness, Sales Promotion encourages immediate purchases, Personal Selling builds customer relationships through direct interaction, and Publicity enhances credibility and goodwill. Together, these promotional tools help organizations increase sales, strengthen their brand image, and achieve long-term marketing success.

3. Discuss Direct Marketing, Objectives and Advantages of Direct Marketing.

Introduction

Direct Marketing is one of the important promotional tools used by businesses to communicate **directly with customers** without involving intermediaries such as wholesalers or retailers. It helps organizations promote products, generate immediate responses, and build long-term customer relationships. With the growth of digital technology, direct marketing has become an essential part of modern marketing.

Meaning of Direct Marketing

Direct Marketing is a marketing strategy in which a company promotes and sells its products or services **directly to customers** through various communication channels such as email, SMS, telephone, websites, social media, and mobile applications.

The main objective is to receive an **immediate response** from customers and establish a **long-term relationship**.

Example: Amazon sends personalized emails recommending products based on your previous purchases.

Objectives of Direct Marketing

1. Increase Sales

The primary objective is to encourage customers to purchase products directly from the company, resulting in increased sales and profits.

2. Build Customer Relationships

Regular communication helps build trust, improve customer satisfaction, and increase customer loyalty.

3. Create Product Awareness

Direct marketing informs customers about new products, services, discounts, and special offers.

4. Receive Immediate Response

Customers can quickly respond by placing orders, asking questions, or requesting more information.

5. Target Specific Customers

Businesses can send promotional messages only to customers who are most likely to buy the product, making marketing more effective.

6. Reduce Marketing Cost

By communicating directly with customers, companies reduce the cost of intermediaries and traditional advertising methods.

Methods of Direct Marketing

1. Email Marketing

Companies send promotional emails containing product information, offers, and updates.

2. SMS Marketing

Businesses send promotional messages, discount offers, and reminders directly to customers' mobile phones.

3. Telemarketing

Sales representatives contact customers through telephone calls to explain products and encourage purchases.

4. Social Media Marketing

Companies promote products through social media platforms such as Instagram, Facebook, WhatsApp, and LinkedIn.

5. Online Shopping Websites and Mobile Apps

Customers can directly browse, order, and pay for products using company websites or mobile applications.

Advantages of Direct Marketing

1. Direct Communication

Companies communicate personally with customers without involving intermediaries.

2. Quick Customer Response

Customers can immediately respond by placing orders, asking questions, or providing feedback.

3. Cost-Effective

Direct marketing is generally less expensive than traditional advertising methods such as television and newspaper advertisements.

4. Better Customer Relationships

Regular and personalized communication improves customer satisfaction and loyalty.

5. Targeted Marketing

Businesses can focus promotional efforts on customers who are most interested in their products or services.

6. Easy Performance Measurement

Companies can easily measure campaign results through responses, sales, website visits, and customer engagement.

7. Personalized Messages

Businesses can send customized product recommendations and offers based on customer preferences and purchase history.

Conclusion

Direct Marketing is an effective promotional strategy that enables businesses to communicate directly with customers. It helps increase sales, build strong customer relationships, reduce marketing costs, and receive immediate feedback. With the rapid

growth of digital technology and online communication, direct marketing has become one of the most powerful and widely used marketing techniques.

4. Explain the Measurement of Direct Marketing Effort.

Introduction

Measurement of Direct Marketing Effort is the process of evaluating the performance and effectiveness of direct marketing campaigns. It helps businesses determine whether their marketing activities have achieved the desired objectives, such as increasing sales, attracting new customers, and improving customer relationships.

By measuring campaign performance, companies can identify successful strategies, reduce unnecessary costs, and improve future marketing decisions.

Measurement of Direct Marketing Effort

1. Response Rate

Response Rate measures the percentage of customers who respond to a direct marketing campaign.

Formula

Response Rate = (Number of Responses ÷ Number of Customers Contacted) × 100

A higher response rate indicates that the campaign successfully attracted customer interest.

Example: A company sends promotional emails to **1,000** customers and receives **100** replies.

Response Rate = (100 ÷ 1000) × 100 = 10%

2. Conversion Rate

Conversion Rate measures how many responding customers actually purchase the product.

Formula

$$\text{Conversion Rate} = (\text{Number of Purchases} \div \text{Number of Responses}) \times 100$$

A higher conversion rate indicates that the campaign effectively converted interested customers into buyers.

Example: Out of **100** responses, **25** customers purchase the product.

$$\text{Conversion Rate} = (25 \div 100) \times 100 = 25\%$$

3. Sales Revenue

Companies compare sales before and after the campaign to determine its effectiveness.

An increase in sales revenue indicates a successful direct marketing campaign.

4. Return on Investment (ROI)

ROI measures the profit earned from a marketing campaign compared with the amount spent.

Formula

$$\text{ROI} = (\text{Profit from Campaign} - \text{Marketing Cost}) \div \text{Marketing Cost} \times 100$$

A higher ROI means the campaign generated better financial returns.

Example: Marketing Cost = ₹20,000, Profit = ₹50,000

$$\text{ROI} = (50,000 - 20,000) \div 20,000 \times 100 = 150\%$$

5. Customer Acquisition

Customer Acquisition measures the number of **new customers** gained through the marketing campaign.

A higher number of new customers indicates campaign success.

6. Customer Retention

Customer Retention measures how many **existing customers continue purchasing** from the company.

A high retention rate reflects customer satisfaction and loyalty.

7. Customer Feedback

Companies collect:

- Reviews
- Ratings
- Suggestions
- Complaints

Positive feedback indicates customer satisfaction and helps improve products and services.

8. Cost Per Customer (Customer Acquisition Cost)

This measures how much money is spent to acquire one new customer.

Formula

Cost Per Customer = Total Marketing Cost ÷ Number of New Customers

A lower cost per customer indicates a more efficient marketing campaign.

Importance of Measuring Direct Marketing Effort

1. Improves Marketing Decisions

Measurement helps identify successful campaigns and improve future marketing strategies.

2. Controls Marketing Costs

Companies can eliminate ineffective marketing activities and manage budgets efficiently.

3. Increases Profitability

Businesses focus on marketing campaigns that generate higher returns and profits.

4. Improves Customer Satisfaction

Customer feedback helps organizations improve product quality and customer service.

5. Measures Campaign Performance

It enables companies to evaluate whether marketing objectives have been achieved.

Conclusion

Measuring Direct Marketing Effort is essential for evaluating the success of marketing campaigns. It helps businesses analyze customer responses, increase sales, reduce costs, improve customer relationships, and make better marketing decisions. Regular measurement ensures that future marketing campaigns are more effective, efficient, and profitable.

SHORT ANSWERS (2–5 Marks)

1. Direct Marketing and Word of Mouth

Direct Marketing

Direct Marketing is a marketing method in which a company communicates directly with customers without intermediaries using channels such as email, SMS, telephone, websites,

and social media. It aims to generate immediate responses and build long-term customer relationships.

Word of Mouth (WOM)

Word of Mouth is the promotion of a product or service through customers who share their personal experiences with others. Since recommendations come from trusted people, it is considered one of the most credible and cost-effective forms of marketing.

2. Online Marketing

Online Marketing is the promotion of products or services through the internet using websites, search engines, social media, email, and mobile applications. It enables businesses to reach a wider audience quickly, interact with customers, and measure campaign performance at a relatively low cost.

3. Measurement of Direct Marketing Effort

Measurement of Direct Marketing Effort is the process of evaluating the effectiveness of direct marketing campaigns. It is measured using indicators such as **Response Rate**, **Conversion Rate**, **Sales Revenue**, **Return on Investment (ROI)**, **Customer Acquisition**, **Customer Retention**, **Customer Feedback**, and **Cost Per Customer**.